

Series	Secured/Unsecured	Coupon rate (p.a.)	ISIN	Security Code
Series 1 *	Secured	10.35%	INE813H07010	TOPO22
Series 2A *	Secured	10.35%	INE813H07051	TOPO21
Series 2B	Secured	10.35%	INE813H07069	TOPO22
Series 2C	Secured	10.35%	INE813H07077	TOPO23
Series 3A	Secured	8.95%	INE813H07085	TOPO21
Series 3B	Secured	8.95%	INE813H07093	TOPO22
Series 3C	Secured	8.95%	INE813H07101	TOPO23
Series 4A	Unsecured	10.25%	INE813H08018	TOPO22
Series 4B	Unsecured	10.25%	INE813H08026	TOPO23
Series 4C	Unsecured	10.25%	INE813H08034	TOPO24
Series 5	Secured	7.65%	INE813H07119	TOPO23
Series 6	Secured	7.30%	INE813H07127	TOPO23

* Series 1: 550 NCDs were partly redeemed on September 28, 2020.

* Series 2A: 100 NCDs were fully redeemed on March 25, 2021.

- Annual listing fees for both, Equity and Debt securities for FY 2020-21 have been paid to the Stock Exchanges, where the securities of the Company are listed.

September, 2020	313.35	11,247.55	112.29	130.82
October, 2020	312.20	11,642.40	111.88	135.41
November, 2020	316.00	12,968.95	113.24	150.84
December, 2020	317.40	13,981.75	113.74	162.62
January, 2021	308.80	13,634.60	110.66	158.58
February, 2021	381.80	14,529.15	136.82	168.99
March, 2021	423.80	14,690.70	151.87	170.87

* Closing data on the last trading day of the month. Closing equity share price at NSE and NIFTY 50 of March 31, 2020 have been taken as the base for calculating relative index for comparison purpose.

following address:

Link Intime India Pvt. Ltd.
506 to 508,
Amanath Business Centre - I (ABC - I),
Beside Gala Business Centre,
Nr. St. Xavier's College Corner
Off C G Road, Ellisbridge,
Ahmedabad-380006 (Gujarat)
Telephone: +91 079 26465179 / 86 / 87
Fax : +91 079 26465179
E-mail: ahmedabad@linkintime.co.in

members holding shares in physical form requested to consider converting their holdings to dematerialised form. Transfer of equity shares in electronic form are affected through the depositories with no involvement of the Company.

The Company obtains from a Company Secretary in Practice half-yearly certificate of compliance with the share transfer formalities as required under Regulation 40(f) of the Listing Regulations and files a copy of the certificate with the Stock Exchanges.

Powers to approve share transfers and related requests have been delegated by the Stakeholders Relationship Committee to the Senior Officials of the Company for expeditious disposal of the Members' requests and complaints. Details of transfers / transmission approved by the delegates were noted by the Stakeholders Relationship Committee at its meeting once in a quarter, which were subsequently noted by the Board of Directors.

Shares have been dematerialised. The shares of the Company are frequently traded on both the Stock Exchanges and hence, the equity shares of the Company are liquid.

k) Outstanding GDRs / ADRs / Warrants / any other convertible instruments

The Company has not issued any GDRs / ADRs / warrants or any convertible instruments as on date.

l) Disclosure of commodity price risk / foreign exchange risk and hedging Activities

The Company has exposure to US\$ / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Company does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such exposures are not likely to have material financial impact on the Company.

The following were the material commodity exposures of the Company during FY 2020-21:

Commodity	Exposure in INR (₹ in Crore)	Exposure in Quantity	% of such exposure hedged through commodity derivatives				Total
			Domestic market		International market		
			OTC	Exchange	OTC	Exchange	
Imported & domestic Coal	181	7,16,254 MT	-	-	-	-	-
Liquefied Natural Gas & domestic natural gas	2,499	6,32,89,727 MMBTU	-	-	-	-	-

The commodity exposure was mainly on account of fuel, a substantial part of which was pass through cost and hence, the commodity price exposure was not likely to have a material financial impact on the Company.

The particulars of contracts / arrangements and transactions entered into by the Company with related parties are set out in the Notes to the Financial Statements forming part of this Annual Report.

n) Address for Correspondence

Company Secretary

Torrent Power Limited
"Samanvay",
600, Tapovan,
Ambawadi, Ahmedabad - 380015 (Gujarat)
CIN: L31200GJ2004PLC044068
Telephone : + 91 79 26628300
Fax : +91 79 26764159
E-mail : cs@torrentpower.com
Website : www.torrentpower.com

o) Debenture Trustees

IDBI Trusteeship Services Ltd.

Asian Building, Ground Floor,
17, R. Kamani Marg,
Ballard Estate,
Mumbai - 400001 (Maharashtra)
Telephone : (022) 40807005

b) Legal Compliances

The Company has formalised a system to track, monitor and document legal compliances applicable to the Company. The Board periodically reviews compliance reports (of all the laws applicable to the Company), prepared by the management. There were no instances of material non-compliances during the year under review. No strictures were passed, or penalties imposed on the Company by SEBI, Stock Exchanges or any statutory authority on any matter related to capital markets during the last three years.

c) Vigil Mechanism / Whistle Blower Policy

The Board has adopted Vigil Mechanism / Whistle Blower Policy for the Company, under which the Company has institutionalised a mechanism for the stakeholders to disclose their concerns and

not raise any funds through preferential allotment or qualified institutions placement as specified under Regulation 32(7A) of the Listing Regulations. However, during the year under review, the Company has issued NCDs on private placement basis, listed on debt market segment of NSE. The Company affirms that there has been no deviation or variation in utilisation of proceeds of the listed NCDs of the Company.

g) Certificate of Practicing Company Secretary

The Company has obtained a certificate from M/s Rajesh Parekh & Co., Practicing Company Secretary, Ahmedabad stating that none of the Directors on the Board of the Company have been

j) Compliance with Corporate Governance

The Company has complied with the Corporate Governance requirements specified in Regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of the Listing Regulations.

For and on behalf of the Board

Ahmedabad
May 20, 2021

Jinal Mehta
Managing Director
DIN: 02685284

Key Audit Matters

5. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

unutilised tax credits, representing Minimum Alternate Tax (MAT) paid on the accounting profit in the current year and in earlier years in which the Company did not have normal taxable profit. The assets have been recognised on the basis of Company's assessment of availability of future taxable profits to offset the accumulated deferred tax assets on the unutilised tax credits.

The future taxable profit projections involve several key assumptions including expected demand of electricity, future prices of fuel, expected tariff rates of electricity, exchange rate and current electricity market scenario covering the period over which MAT Credit can be claimed as per the Income-tax Act, 1961. In preparing the profit projections, management has considered, past trends, applicable tariff regulations/ agreements and current and likely future state of the industry.

We considered this a key audit matter as the amount of deferred tax assets on unutilised tax credits is material to the financial statements and significant management judgement is required in assessing the recoverability of accumulated deferred tax assets on unutilised tax credits based on significant assumptions underlying the forecast of future taxable profits. Further, recoverability of deferred tax assets depends on the achievement of Company's future business plans.

- Assessed and tested the design and operating effectiveness of the Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits.
- Reviewed the Company's accounting policy in respect of recognising deferred tax assets on unutilised tax credits.
- Assessed the reasonableness of the assumptions underlying profit projections made by management, by reviewing the past trends, available tariff orders and relevant economic and industry indicators.
- Evaluated whether the tax credit entitlements are legally available to the Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961.
- Checked the arithmetic accuracy of the underlying calculations of the profit projections.
- Performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within reasonably foreseeable range.
- Reviewed the adequacy of disclosures made in the financial statements with regard to deferred taxes.

Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.

9. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.
10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:
 - Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
 - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

19. As required by Section 143(3) of the Act, we report that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- c) The Balance Sheet, the Statement of Profit and Loss (including other comprehensive income), the Statement of Changes in Equity and Cash Flow Statement dealt with by this Report are in agreement with the books of account.
- d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act.
- e) On the basis of the written representations received from the directors as on March 31, 2021 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2021 from being appointed as a Director in terms of Section 164 (2) of the Act.
- f) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".

- internal control systems, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to financial statements.

Meaning of Internal Financial Controls with reference to Financial Statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and Directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

- vii. (a) Whether they are accurate or complete.
- (a) According to the information and explanations given to us and the records of the Company examined by us, in our opinion, the Company is regular in depositing the undisputed statutory dues, including provident fund, employees' state insurance, income tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, goods and services tax and other material statutory dues, as applicable, with the appropriate authorities. Also refer note 46(a) to the standalone financial statements regarding management's assessment on the matter relating to provident fund.
- Further, for the period April 01, 2020 to April 30, 2020, the Company has paid Goods and Service Tax and filed GSTR 1 and GSTR3B after the due date but within the timelines allowed by Central Board of Indirect Taxes and Customs under the Notification Number 35/2020- GST dated April 03, 2020 on fulfillment of conditions specified therein.
- across any instance of material fraud by the Company or on the Company by its officers or employees, noticed or reported during the year, nor have we been informed of any such case by the Management.
- xi. The Company has paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act. Also refer paragraph 16 of our main audit report.
- xii. As the Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it, the provisions of Clause 3(xii) of the Order are not applicable to the Company.
- xiii. The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Act. The details of such related party transactions have been disclosed in the standalone financial statements as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified under Section 133 of the Act.
- xiv. The Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year under review. Accordingly, the provisions of Clause 3(xiv) of the Order are not applicable to the Company.
- xv. The Company has not entered into any non cash transactions with its directors or persons connected with him. Accordingly, the provisions of Clause 3(xv) of the Order are not applicable to the Company.
- xvi. The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the provisions of Clause 3(xvi) of the Order are not applicable to the Company.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner

Membership Number: 109553
UDIN: 21109553AAAAAE2229

Place: Mumbai
Date: May 20, 2021

Consistency with Prudence 129

Movement in working capital:		
Adjustments for decrease / (increase) in operating assets:		
Inventories	150.46	28.78
Trade receivables	(322.45)	(75.07)
Loans	(15.14)	(1.16)
Other financial assets	(168.59)	(27.53)
Other assets	61.76	(26.71)
Adjustments for increase / (decrease) in operating liabilities:		
Trade payables	(41.61)	204.18
Other financial liabilities	65.76	41.06
Provisions	(34.16)	12.92
Other liabilities	(39.36)	(21.05)
Cash generated from operations	2,923.96	3,759.51
Taxes paid (net)	(253.54)	(290.43)
Net cash flow generated from operating activities	2,670.42	3,469.08
Cash flow from investing activities		
Payments for property, plant and equipment & intangible assets	(1,280.70)	(680.11)
Proceeds from sale of property, plant and equipment & intangible assets	7.23	9.55
Consideration received on slump sale [Refer note 62]	256.95	-
Non-current investment in subsidiaries	(0.15)	(2.00)
Non-current redemption of debentures from associates	-	191.62
Purchase of non-current investments	(1.86)	(1.92)
Loans to related parties	(253.67)	(1,575.62)

1	Cash and cash equivalents as at end of the year:		
	Balances with banks		
	Balance in current accounts	93.19	78.14
	Cheques on hand	0.58	0.94
	Cash on hand	1.78	0.34
		95.55	79.42

2 The statement of cash flow has been prepared under the "Indirect Method" set out in Indian Accounting Standards (Ind AS) - 7 "Statement of Cash Flows".

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Lalit Malik
Chief Financial Officer

Rahul Shah
Company Secretary

Mumbai, May 20, 2021

Ahmedabad, May 20, 2021

Income tax	-	-	-	-	3.39	3.39
Total comprehensive income for the year	-	-	-	-	1,328.30	1,328.30
Transfer to debenture redemption reserve	-	(70.84)	-	-	-	70.84
Transfer to contingency reserve	-	-	1.87	-	-	(1.87)
Transaction with owners in their capacity as owners:						
Dividend (including interim dividend) paid	-	-	-	-	(264.34)	(264.34)
Balance as at March 31, 2021	0.03	187.26	13.46	78.07	3,583.89	5,907.90
						9,770.61

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Lalit Malik
Chief Financial Officer

Rahul Shah
Company Secretary

Mumbai, May 20, 2021

Ahmedabad, May 20, 2021

Historical cost convention

The financial statements have been prepared on an accrual basis under the historical cost convention except for following which have been measured at fair value;

- Defined benefit plan assets

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Business combinations and goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Acquisition-related costs are expensed as incurred.

The excess of the

- consideration transferred; and
- acquisition-date fair value of any previous equity interest in the acquired entity

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of a business include the carrying amount of goodwill relating to such business.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

2.3 Investments in subsidiaries, joint ventures and associates:

Investments in associates, joint ventures and subsidiaries are measured at cost less provision for impairment, if any.

2.4 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Company should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

The estimated useful life, residual values and depreciation method are reviewed at the end of each reporting period in respect of tangible assets of non-regulated business. The effect of any such change in estimate in this regard is accounted for on a prospective basis.

The range of depreciation rates of property, plant and equipment are as follows:

Class of Assets	Rate of Depreciation		
	Regulated Business	Franchisee Business @	Other Business
Buildings	1.80% to 6.00%	3.34%	3.34%
Railway siding	1.80% to 5.28%	-	-
Plant and machinery	1.80% to 7.00%	5.28%	3.60%
Electrical fittings and apparatus	5.28% to 19.00%	6.33%	6.33%
Furniture and fixtures	5.28% to 15.00%	6.33%	6.33%
Vehicles	9.50%	9.50%	9.50%
Office equipment	3.60% to 19.00%	5.28% to 15.00%	6.33% to 15.00%

@ governed by the applicable regulations of U. P. Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

2.6 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Company, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably.

at the end of each reporting period.

2.9 Borrowing costs:

Borrowing costs that are directly attributable to the acquisition and construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, such as new projects and / or specific assets created in the existing business, are capitalised up to the date of completion and ready for their intended use.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the statement of profit and loss in the period of their accrual.

2.10 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the balance sheet.

availing incentive.

- (iv) Contributions by consumers towards items of property, plant and equipment, which require an obligation to provide electricity connectivity to the consumers, are recognised as a credit to deferred revenue. Such revenue is recognised over the useful life of the property, plant and equipment.

2.13 Foreign currency translation:

Functional and presentation currency

The financial statements are prepared in Indian rupee (INR) which is functional as well as presentation currency of the Company.

Transactions and balances

In preparing the financial statements of the Company, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange differences arising on foreign currency borrowings are presented in the Statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Company's monetary items at rates different from those at which they were initially recorded during the financial year are recognised as income or expense in the financial year in which they arise.

future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The said obligations are presented as current liabilities in the balance sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

2.15 Taxation:

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from 'profit before tax' as reported in the statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

- After tax effect of interest and other financing costs associated with dilutive potential equity shares.
- The weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

2.17 Provisions, contingent liabilities and contingent assets:

Provisions

A provision is recognised when the Company has a present obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains / (losses). Interest income from these financial assets is included in other income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains and losses and impairment expenses in other expenses.

- **Fair value through profit or loss (FVTPL)**

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented net in the statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

iv) Impairment of financial assets

The Company assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115 only, the Company follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses.

Financial liabilities

The Company's financial liabilities include trade and other payables, loans and borrowings.

i) Classification

All the Company's financial liabilities are measured at amortised cost.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or waived off or have expired. An exchange between the Company and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets:

Right-of-use assets are measured at cost comprising the amount of the initial measurement of lease liability and lease payments made before the commencement date.

Right-of-use assets are depreciated over the lease term on a straight-line basis. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

3.2 Property, plant and equipment:

i) Service concession arrangements

The Company has assessed applicability of Appendix D of Ind AS115 "Service Concession Arrangements" with respect to its property, plant and equipment. In assessing the applicability, the Company has exercised judgment in relation to the provisions of the Electricity Act, 2003, conditions provided under transmission and distribution license and / or agreements. Further, the Company has ability to pledge the assets pursuant to which it has control and ability to direct the use of assets. Based on such assessment, it has concluded that Appendix D of Ind AS 115 is not applicable.

ii) Impairment of property, plant and equipment

Determining whether property, plant and equipment are impaired requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on estimates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 43(1)]

3.6 Employee benefit plans:

Defined benefit plans and other long-term employee benefits

The present value of obligations under defined benefit plan and other long term employment benefits is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual development in the future. These include the determination of the discount rate, future salary escalations, attrition rate and mortality rates. Due to the complexities involved in the valuation and its long term nature, these obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining present value of defined benefit obligation are disclosed in note 50.2

NOTE 4 : PROPERTY, PLANT AND EQUIPMENT
As at March 31, 2021

Particulars	Gross carrying amount		
	As at April 01, 2020	Transfer due to long term arrangement the year [Refer note 62]	Additions Deductions during the year
Freehold land	422.99	-	- 0.3
Buildings	1,544,977	(17.10)	118.01 21.1
Railway siding	1.86	-	-
Plant and machinery	18,681.97	(63.61)	844.41 27.03
Electrical fittings and apparatus	43.32	0.33	8.59 0.28
Furniture and fixtures	49.53	(0.59)	8.76 0.12
Vehicles	27.28	(0.28)	2.40 1.28
Office equipment	142.26	(1.43)	23.35 0.69
Total	21,914.18	(63.91)	1,005.52 28.49 15.0

As at March 31, 2020

Particulars	Gross carrying amount		
	As at April 01, 2019	Additions Deductions during the year	Adj during the year
Freehold land	403.10	19.89	-
Buildings	1,505.68	43.38	5.62
Railway siding	1.86	-	-
Plant and machinery	18,981.05	728.83	27.94
Electrical fittings and apparatus	40.26	3.12	0.07
Furniture and fixtures	45.11	3.63	0.21
Vehicles	23.42	5.52	1.66
Office equipment	121.06	22.46	1.24
Total	21,121.54	826.63	36.74

NOTE 5 : RIGHT-OF-USE ASSETS**As at March 31, 2021**

Particulars	Gross carrying amount	
	As at April 01, 2020	Transition impact of Ind AS 116 during the year
Land	170.11	-
Buildings	27.70	-
Plant and machinery	0.38	-
Office equipment	0.14	-
Total	198.33	-

As at March 31, 2020

Particulars	Gross carrying amount	
	As at April 01, 2019	Transition impact of Ind AS 116 during the year
Land	-	174.59
Buildings	-	13.21
Plant and machinery	-	0.38
Office equipment	-	0.14
Total	-	188.32

Footnotes:

- 1 The above right-of-use assets have been mortgaged and hypothecated
- 2 Refer note 49 for disclosure relating to right-of-use asset.

(₹ in Crores)		
Particulars	Year ended March 31, 2021	Year ended March 31, 2020
Rental income derived from investment property [Refer note 36]	0.24	-
Direct operating expenses arising from investment property that generated rental income	-	-
Direct operating expenses arising from investment property that did not generate rental income	-	-

- 7 Minimum undiscounted lease payments receivable (excluding tax) on leases of investment property are as follows:

(₹ in Crores)		
Particulars	As at March 31, 2021	
Within 1 Year	1.16	
After one year but not more than five years	4.89	
More than 5 years	6.73	
	12.78	

NOTE 8 : INTANGIBLE ASSETS

As at March 31, 2021

Particulars	Gross carrying amount	
	As at Transfer due to April 01, scheme of 2020 (Prefer note 62)	Deductions during the year
Computer software	42.31 (0.83)	14.21
Total	42.31 (0.83)	14.21

As at March 31, 2020

Particulars	Gross carrying amount	
	As at April 01, 2019	Deductions during the year
Computer software	36.96 5.80	0.45
Total	36.96 5.80	0.45

Footnote:
1 The above computer software has been mortgaged and hypothecated

(No. of shares - March 31, 2021: 20,00,000; March 31, 2020: 20,00,000)		
Torrent Solar Power Private Limited		
Equity shares of ₹10 each fully paid up	0.05	-
(No. of shares - March 31, 2021: 50,000; March 31, 2020: Nil)		
Torrent Saurya Uija 2 Private Limited		
Equity shares of ₹10 each fully paid up	0.05	-
(No. of shares - March 31, 2021: 50,000; March 31, 2020: Nil)		
Torrent Saurya Uija 3 Private Limited		
Equity shares of ₹10 each fully paid up	0.05	-
(No. of shares - March 31, 2021: 50,000; March 31, 2020: Nil)		
Aggregate amount of quoted investments	414.73	402.82
Aggregate amount of unquoted investments	414.73	402.82
Aggregate amount of impairment in value of investments	15.96	14.35
Aggregate amount of market value of quoted investments	-	-

Footnotes:

- In the current year, Investments in subsidiaries have been disclosed separately as it is considered more appropriate classification and disclosure.
- During the year, Company has given financial guarantees in favour of the debenture trustee for NCD issued by subsidiary companies and has recognised fair value of financial guarantee as equity investment in both Jodhpur Wind Farms Private Limited and Latur Renewable Private Limited.

8.32% GOI Bond - 2032	0.32	0.32
8.97% GOI Bond - 2030	1.01	1.01
8.28% GOI Bond - 2027	1.30	1.30
7.35% GOI Bond - 2024	1.32	1.32
8.40% GOI Bond - 2024	1.63	1.63
6.68% GOI Bond - 2031	1.69	1.69
7.37% GOI Bond - 2023	1.93	1.93
7.57% GOI Bond - 2033	1.92	1.92
7.73% GOI Bond - 2034	1.86	-
	13.97	12.11
	124.20	115.95
Aggregate amount of quoted investments	13.97	12.11
Aggregate amount of unquoted investments	110.23	103.84
	124.20	115.95
Aggregate amount of impairment in value of investments	0.63	0.63
Aggregate amount of market value of quoted investments	14.85	13.03

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 companies, i.e. Tornascent Care Institute and UNM Foundation, under the Companies Act, 2013 for the purpose of carrying out charitable activities.

The National Company Law Tribunal (NCLT) has approved a Scheme of Arrangement ("Scheme") in the nature of Amalgamation of UNM Foundation with Tornascent Care Institute vide order dated March 23, 2021. The Scheme is effective from April 01, 2020 ("Appointed Date").

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24- Contingency reserve]

NOTE 14 : OTHER NON-CURRENT ASSETS

Unsecured (considered good)

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Capital advances	103.63	68.62
Advances for goods and services	148.85	170.28
Balances with government authorities	59.12	63.42
Prepaid expenses	21.77	25.04
	333.37	327.36

	As at March 31, 2021	As at March 31, 2020
Investment in mutual funds (unquoted)		
Axis Liquid Fund- Growth (No. of units - March 31, 2021: 85,635, March 31, 2020: Nil)	19.57	-
ICICI Liquid Plan - Regular - Growth (No. of units - March 31, 2021: 18,04,960, March 31, 2020: Nil)	55.00	-
ICICI Overnight Fund - Growth (No. of units- March 31, 2021: Nil, March 31, 2020: 1,67,90,598)	-	180.92
IDFC Overnight Fund - Growth (No. of units- March 31, 2021: Nil, March 31, 2020: 14,07,462)	-	150.00
SBI Liquid Fund Direct Growth (No. of units- March 31, 2021: 3,94,356, March 31, 2020: Nil)	127.05	-
SBI Overnight Fund - Growth (No. of units- March 31, 2021: Nil, March 31, 2020: 4,61,238)	-	150.07
Tata Liquid Fund Direct Plan - Growth (No. of units - March 31, 2021: 1,23,190, March 31, 2020: Nil)	40.01	-
Tata Overnight Fund- Growth (No. of units- March 31, 2021: Nil, March 31, 2020: 2,01,286)	-	21.21
	241.63	502.20

	As at March 31, 2021	As at March 31, 2020
Balances with banks		
Balance in current accounts	93.19	78.14
Cheques on hand	0.58	0.94
Cash on hand	1.78	0.34
	95.55	79.42

NOTE 19 : BANK BALANCES OTHER THAN CASH AND CASH EQUIVALENTS

	As at March 31, 2021	As at March 31, 2020
Unpaid dividend accounts	10.01	9.55
Unpaid fractional coupon accounts	0.35	0.35
Balance in fixed deposit accounts # (maturity of more than three months but less than twelve months)	82.86	134.88
	93.22	144.78

include ₹Nil (March 31, 2020 - ₹56.50 Crore) on which a lien has been created in favour of lenders

NOTE 22 : OTHER CURRENT ASSETS

Unsecured (considered good)

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Advances for goods and services	40.30	85.72
Balances with government authorities	0.72	0.82
Prepaid expenses	30.47	25.38
	71.49	111.92

- distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.
- 4 Details of shareholders holding more than 5% shares in the Company :
- | Name of the Shareholder | As at March 31, 2021 | | As at March 31, 2020 | |
|--|----------------------|-----------|----------------------|-----------|
| | No. of shares | % holding | No. of shares | % holding |
| Torrent Investments Private Limited
(Formerly known as Torrent Private Limited) | 25,74,22,311 | 53.56% | 25,74,22,311 | 53.56% |
| Gujarat State Financial Services Ltd. | 4,68,71,621 | 9.75% | 4,68,71,621 | 9.75% |
| Axis Mutual Fund Trustee Ltd. | 3,75,81,431 | 7.82% | 2,95,72,552 | 6.15% |
- 5 Aggregate number of equity shares allotted as fully paid up pursuant to contract(s) without payment being received in cash:
During FY 2015-16, the Company allotted 81,68,476 equity shares of ₹10 each at par to the shareholders of Torrent Cables Limited pursuant to the scheme of amalgamation of Torrent Energy Limited and Torrent Cables Limited with Torrent Power Limited as approved by the Hon'ble Gujarat High Court vide its order dated August 13, 2015.
- 6 Distributions made and proposed:
Interim dividend for FY 2020-21 of ₹5.50 per equity share [Previous year - ₹11.60 per equity share (including ₹5.00 per equity share as a special dividend)] aggregating to ₹284.34 Crore [Previous year - ₹672.11 Crore (including dividend distribution tax of ₹114.60 Crore)] was paid in March, 21.
The Board of Directors at its meeting held on May 20, 2021 has recommended a dividend of 55.00% (₹5.50 per equity share of par value ₹10 each).The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹264.34 Crore.

- 4 Special reserve:
As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.
- 5 General reserve:
General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.
- 6 Retained earnings:
The retained earnings reflect the profit of the company earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

After considering unamortised expense of ₹0.35 Crore as at March 31, 2021 and ₹0.52 Crore as at March 31, 2020.

Current maturities		
Secured loans - at amortised cost		
Non convertible debentures		
10.35% Series 1	183.32	183.32
10.35% Series 2A, 2B & 2C	100.00	100.00
8.95% Series 3A, 3B & 3C	80.00	-
	363.32	283.32
Term loans \$		
From banks	725.85	718.63
	725.85	718.63
Unsecured loans - at amortised cost		
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	3.82
	1,092.99	1,005.77
Amount disclosed under the head "Other current financial liabilities" [Refer note 31]	(1,092.99)	(1,005.77)
	-	-

\$ After considering unamortised expense of ₹3.09 Crore as at March 31, 2021 and ₹3.71 Crore as at March 31, 2020.

2026-27	676.45	-
2026-27	690.76	-
2027-28	490.95	-
2028-29	438.46	-
2029-30	438.46	-
2030-31	438.46	-
2031-32	383.65	-
2032-33	272.98	-

- 3 Undrawn term loans from banks, based on approved facilities, were ₹980.00 Crore as at March 31, 2021.

Cash flows	(94.91)	(10.56)	300.00	322.33	3.11	(82.34)
New lease	-	-	-	-	(41.13)	(41.13)
Interest expense	-	-	(3.63)	(790.24)	(2.54)	(796.41)
Interest paid	-	-	3.63	714.80	-	718.43
Gain on sale of current investments	-	40.76	-	-	-	40.76
Fair value adjustment	-	(0.36)	-	-	-	(0.36)
Net balance as at March 31, 2020	79.42	502.20	-	(8,428.51)	(37.96)	(7,884.85)
Cash flows	16.13 #	(278.72)	-	1,140.52	7.10	885.03
New lease	-	-	-	-	(1.83)	(1.83)
Interest expense	-	-	(9.82)	(650.53)	(3.32)	(663.67)
Interest paid	-	-	9.82	687.00	-	696.82
Gain on sale of current investments	-	17.59	-	-	-	17.59
Fair value adjustment	-	0.56	-	-	-	0.56
Net balance as at March 31, 2021	95.55	241.63	-	(7,251.52)	(36.01)	(6,950.35)

Cash and cash equivalents increased by ₹16.47 Crore less ₹0.34 Crore transferred to TCL Cables Private limited pursuant to slump sale

^ Including dues to micro and small enterprises for ₹7.85 Crore (March 31, 2020 - ₹1.08 Crore) [Refer note 48]

NOTE 32 : OTHER CURRENT LIABILITIES

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Credit balances of consumers [Refer note 45(d)]	84.47	81.68
Service line deposits from consumers [Refer note 45(c)]	189.85	194.82
Deferred revenue		
Contribution received from consumers [Refer note 45(b)]	82.85	77.01
Capital grant from government [Refer note 61(b)]	2.46	2.72
Statutory dues	170.63	200.51
Sundry payables	7.03	18.80
	537.29	575.54

NOTE 34: CURRENT TAX LIABILITIES

(₹ in Crore)

	As at March 31, 2021	As at March 31, 2020
Provision for taxation (net of tax paid)	44.45	21.63
	44.45	21.63

orders received from the Appellate Tribunal for Electricity in respect of disputed Revenue Gap related to carrying costs of earlier years.

	Year ended March 31, 2021	Year ended March 31, 2020
Cost of materials consumed	-	346.64
Less: Allocated to capital works	-	96.04
	-	250.60

NOTE 38 : CHANGES IN INVENTORIES OF FINISHED GOODS AND WORK-IN-PROGRESS

	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Inventory of finished goods		
Opening stock	23.13	23.31
Less: Closing stock	-	23.13
Less: Transfer pursuant to scheme of arrangement [Refer note 62]	23.13	-
	-	0.18
Inventory of work-in-progress		
Opening stock	7.37	8.75
Less: Closing stock	-	7.37
Less: Transfer pursuant to scheme of arrangement [Refer note 62]	7.37	-
	-	1.38
Less: Allocated to capital works	-	0.11
	-	1.45

Unwinding of discount	3.40	10.08
	735.77	903.29
Less: Allocated to capital works	16.81	11.43
	718.96	891.86

NOTE 41 : DEPRECIATION AND AMORTIZATION EXPENSE

	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Depreciation expense on property, plant and equipment	1,157.83	1,213.73
Depreciation expense on right-of-use assets	11.42	10.44
Amortization expense on intangible assets	10.70	8.13
	1,179.95	1,232.30
Less: Transfer from others	0.10	0.10
Less: Allocated to capital works	-	2.04
	1,179.85	1,230.16

Bad debts written off (net of recovery)	49.81	(17.41)
Provision for onerous contracts [Refer note 60]	1.02	161.78
Allowance for doubtful debts (net)	21.48	82.43
Miscellaneous expenses	81.54	103.30
	1,066.51	1,296.53
Less: Allocated to capital works, repairs and other relevant revenue accounts ^	60.67	73.49
	1,005.84	1,225.04

^ Includes allocated to capital works of ₹0.53 Crore (Previous year - ₹11.49 Crore)

is intended to be dissolved, with reference to this, in the month of March 2019, GPCL has written a letter to Oilfield, Amreli stating that the land is surrendered to the Government and requested Energy and Petroleum Department, GoG to take further action in the matter. The management has made an impairment assessment of the carrying amount of the land by comparing it with the circle rates published by GoG for the purpose of levy of stamp duty, on the basis of which it has been concluded that there is no impairment in the carrying amount of the land. The timing of the recoverability of the amounts invested in land would depend upon the availability of the buyer. Considering the above facts, assets and liabilities are reflected at their net realisable values or cost whichever is lower and the financial statements of TPGL for the year ended March 31, 2021 have been prepared on a non - going concern basis. The recovery of carrying amount of equity and loan ₹92.53 Crore (March 31, 2020 ₹92.38 Crore) is also dependent on the availability of buyer for above mentioned land. The Company has invested equity and loan aggregating to ₹108.48 Crore (March 31, 2020 ₹106.73 Crore) in TPGL and impairment in value of investment is of ₹15.95 Crore as at March 31, 2021 (March 31, 2020 ₹14.35 Crore).

Unutilised Minimum Alternate tax (MAT) credit recognised due to change in MAT rate from 21.55% to 17.47%	-	(464.19)
Other adjustments including relating to accumulated MAT credit	23.36	(302.25)
Total	258.32	(692.68)
Adjustment for current tax of prior periods	0.01	0.44
Total expense as per statement of profit and loss	258.33	(692.24)

The tax rate used for the reconciliations given above is the actual / enacted corporate tax rate payable by corporate entities in India on taxable profits under the Indian tax law.

Taxation Laws (Amendment) Act, 2019, inter alia, reduced the effective rate of MAT from 21.55% to 17.47%. The net deferred tax credit in the previous year includes the impact of this change amounting to ₹464.19 Crore, due to the Company's ability to utilise accumulated MAT credit in future years, not previously recognised. Further the net deferred tax credit in the previous year includes ₹533.99 Crore, mainly arising on account of a provision for impairment in the carrying value of DGEN Power Plant [Refer note 43], provision for certain onerous contracts [Refer note 60] and reassessment of management's reasonable estimate for the future taxable profits, which would be available to utilise such additional MAT Credit.

(c) Income tax recognised in other comprehensive income

	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Deferred tax		
Re-measurement of defined benefit obligation (Items that will not be reclassified to profit or loss)	5.18	(44.57)
Income tax expense / (income) recognised in other comprehensive income	1.79	(15.57)

	profit or loss	OCI	
Property, plant and equipment	(2,204.41)	101.27	-
Provision for compensated absences	35.01	6.58	-
Provision for onerous contracts	-	56.53	-
Allowance for doubtful debts	18.69	14.80	-
MAT credit entitlement	596.35	834.42	-
Others	(1.90)	(15.22)	15.57
	(1,556.26)	998.18	15.57
			(542.51)

(3) Unrecognised deferred tax assets

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Accumulated MAT credit entitlement	-	-
	-	-

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

(2) Movement of contribution received from consumers

	(₹ in Crores)	
	As at March 31, 2021	As at March 31, 2020
Opening balance	1,131.98	1,017.24
Add: Contribution received during the year	116.04	185.69
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 35]	(79.48)	(70.95)
Closing balance	1,168.54	1,131.98
Non-current portion [Refer note 28]	1,085.69	1,054.97
Current portion [Refer note 32]	82.85	77.01
	1,168.54	1,131.98

Disputed income tax matters	29.27	17.83
Disputed sales tax matters	0.96	5.25
Disputed service tax matters	0.49	-
Disputed custom duty matters	18.50	18.50
Disputed excise duty matters	0.18	2.88
Disputed stamp duty matters	0.35	0.35
Disputed value added tax matters	2.94	3.26
Disputed central sales tax matters	-	3.04
Claims against the Company not acknowledged as debt [Refer footnote 3 below]	148.06	21.39

The Company has evaluated the impact of Supreme Court ("SC") judgement dated February 28, 2019 in the case of Regional Provident Fund Commissioner (I) West Bengal v/s Vivekananda Vidyamandir and Others, in relation to exclusion of certain allowances from the definition of "basic wages" of the relevant employees for the purposes of determining contribution to Provident Fund ("PF") under the Employees' Provident Fund & Miscellaneous Provisions Act, 1952. There are interpretation issues relating to the said SC judgement. Based on such evaluation, management has concluded that effect of the aforesaid judgement on the Company is not material and accordingly, no provision has been made in the financial statements.

(c) Capital and other commitments

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
i) Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)		
Property, plant and equipment	455.19	408.39
ii) Other commitments		
(a) Guarantees given to lenders of subsidiary company	-	284.50
(b) Guarantees given in favour of the debenture trustee for NCD issued by subsidiary companies including interest thereon	615.59	-

Footnote:

- 1 The guarantees given to lenders of subsidiaries are unlikely to be called, as subsidiaries are in a position to service the loans and interest, covered by such guarantees.

Micro and small enterprises under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006) have been determined based on the information available with the Company and the required disclosures are given below:

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
(a) Principal amount remaining unpaid [Refer notes 30 and 31]	44.31	25.73
(b) Interest due thereon	0.03	0.03
(c) The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year		
i) Principal amounts paid to the suppliers beyond the appointed day during the year	4.77	1.07
ii) Interest paid under section 16 of the MSMED Act, to the suppliers, beyond the appointed day during the year	-	0.01
(d) The amount of interest due and payable for the year (where the principal has been paid but interest under the MSMED Act, 2006 not paid)	0.02	0.15
(e) The amount of interest accrued and remaining unpaid [b+d]	0.05	0.18
(f) The amount of further interest due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23.	-	-

	Notes	Year ended March 31, 2021	Year ended March 31, 2020
Depreciation charge of right-of-use assets	41	11.42	10.44
Interest expense (included in finance costs)	40	3.32	2.54
Expense relating to short-term leases (included in other expenses)	42	1.55	3.91
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	42	0.17	0.39
Total		16.46	17.28

(iii) **Maturities of lease liabilities**

As at March 31, 2021:

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	6.77
Between 1 year and 5 years	17.73	-
5 years and above	29.50	-
Total	47.23	6.77

of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by TPL for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as "Electrical energy purchased" in the Financial Statements.

(vi) **Impact on the financial statements as on April 01, 2019 due to adoption of Ind AS 116**

The Company has adopted Ind AS - 116 retrospectively from April 01, 2019, but has not restated comparatives for year ended March 31, 2019, as permitted under the specific transition provisions in the standard. The reclassifications and the adjustments arising from the new leasing rules are therefore recognised in the opening balance sheet on April 01, 2019. The new accounting policies are disclosed in note 2.20.

On adoption of Ind AS - 116, the Company recognised lease liabilities in relation to leases which had previously been classified as 'operating leases' under the principles of Ind AS - 17, Leases. These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as of April 01, 2019. The weighted average lessee's incremental borrowing rate applied to the lease liabilities on April 01, 2019 was 9.00%.

the tenure of the lease term. Further the Company has not entered into any material financial lease. Accordingly there were no future minimum lease payments under non-cancellable operating leases required to be disclosed under the previous standard Ind AS - 17.

^ The Company has extension and termination options available in the lease contracts and the majority of extension and termination options are exercisable by the Company. Accordingly the Company on adoption of Ind AS 116 Leases has recognised such lease liabilities by measuring present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as April 01, 2019.

(c) **Adjustments recognised in the balance sheet on April 01, 2019**

The change in accounting policy affected the following items in the balance sheet on April 01, 2019:

- Right-of-use assets – increased by ₹188.32 Crore
- Prepayments – decreased by ₹161.69 Crore
- Lease liabilities – increased by ₹26.63 Crore

NOTE 50: EMLOYEE BENEFIT PLANS

50.1 Defined contribution plan

The Company has defined contribution retirement benefit plans for its employees.

The Company's contributions to provident fund, pension scheme and employee state insurance scheme are made to the relevant government authorities as per the prescribed rules and regulations. The Company's superannuation scheme for qualifying employees is administered through its various superannuation trust funds. The Company's contributions to the above defined contribution plans are recognised as employee benefit expenses in the statement of profit and loss for the year in which they are due. The Company has no further obligation in respect of such plans beyond the contributions made.

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2021. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(c) **Significant assumptions**

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2021	As at March 31, 2020
Discount rate	7.08%	6.93%
Salary escalation rate	8.50%	8.50%

Liability transferred out	(1.39)	(0.64)
Benefits paid directly by employer	(1.57)	(2.80)
Benefits paid	(28.64)	(27.22)
Obligation at the end of the year	280.38	289.07
(2) Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	234.47	225.30
Transfer pursuant to scheme of arrangement [Refer note 62]	(7.01)	-
Interest income	15.76	17.84
Return on plan assets (excluding interest income)	0.26	(0.65)
Contributions received	54.08	19.20
Benefits paid	(28.64)	(27.22)
Plan assets at the end of the year, at fair value	268.92	234.47
(3) Gratuity cost recognised in the statement of profit and loss		
Current service cost	15.71	12.22
Interest cost, net	3.74	1.46
Net gratuity cost recognised in the statement of profit and loss [Refer note 39]	19.45	13.68
(4) Gratuity cost recognised in the other comprehensive income (OCI)		
Return on plan assets (excluding interest income)	(0.26)	0.65
Actuarial (gains) / losses	(4.92)	43.92
Net (income) / expense for the period recognised in OCI	(5.18)	44.57

(i) Expected contribution to the plan for the next annual reporting period is ₹ 11.46 Crore (Previous year - ₹34.60 Crore).

(j) Cash flow projection from the fund

Projected benefits payable in future years from the date of reporting

	Funded plan- Gratuity	
	As at March 31, 2021	As at March 31, 2020
1 st following year	35.78	32.12
2 nd following year	19.60	22.52
3 rd following year	29.44	32.90
4 th following year	27.94	28.95
5 th following year	25.88	27.60
sum of years 6 to 10 th	87.66	96.78

50.3 Other long-term employee benefit obligations

The leave obligation covers the Company's liability for sick and earned leave. Under these compensated absences plans, leave encashment is payable to all eligible employees on separation from the Company due to death, retirement or resignation; at the rate of daily last drawn salary, multiplied by leave days accumulated as at the end of relevant period. Refer notes 33 and 39 for the leave encashment provision / change in the balance sheet and statement of profit and loss.

Electoral Bonds	-	35.00
Prudent Electoral Trust	10.00	-
	10.00	35.00

No. of CERs inventory	3,91,411	3,052
No. of CERs under certification	52,04,387	3,91,411

Inventories of CERs are valued at cost or market price whichever is lower.

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)
(b) Related party transactions

	Subsidiaries	Associate
	Year ended 31.03.21	Year ended 31.03.21
TCL Cables Private Ltd.	0.24	-
Torment Investments Private Ltd.	-	-
Torment Power Services Private Ltd.	-	-
Torment Gas Private Ltd.	-	-
Torment Energy Private Ltd.	-	-
Torment EPCOR Private Ltd.	-	-
Services received / remuneration paid		
Vayam Media	-	-
Transfer of capital work-in-progress	28.23	-
Torment Solagen Ltd.	28.23	-
Purchase of cables	95.58	-
TCL Cables Private Ltd.	173	202
Share expenditure charged to		0.28
Torment EPCOR Corporation Ltd.	0.03	-
Torment Solagen Ltd.	0.02	-
Torment Power Grid Ltd.	0.09	0.05
Latur Renewable Private Ltd.	0.20	0.20
Jodhpur Wind Farms Private Ltd.	0.38	0.45
Wind Two Raney Private Ltd.	-	0.28
Wind Five Raney Private Ltd.	-	-
Torment Gas Private Ltd.	-	-
Torment Gas Private Ltd.	-	-
Impairment in value of investment	1.60	1.55
Torment Gas Private Ltd.	1.60	1.55
Transfer of gratuity liability to / (from)	0.89	(0.24)
Torment Pharmaceuticals Ltd.	-	-
Torment Power Grid Ltd.	0.16	(0.24)
TCL Cables Private Ltd.	0.73	-
Torment Core Institute	-	-

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)
(b) Related party transactions

	Subsidiaries	Associate
	Year ended 31.03.20	Year ended 31.03.21
Torment Gas Private Ltd.	-	-
Torment Gas Private Ltd.	-	-
Managerial remuneration@	-	-
Sirri Media	-	-
Jini Media	-	-
Commission to non-executive directors*	-	-
Sirri Media	-	-
Sirri Media	-	-
Sirri Media	-	-
Kodi Melty	-	-
Parajal Rabal	-	-
Bhavana Doshi	-	-
Charmitha Basal	-	-
Suraina Torne#	-	-
Parajal Jozalal	-	-
Sitting fees to non-executive directors*	-	-
Sirri Media	-	-
Kodi Melty	-	-
Parajal Rabal	-	-
Bhavana Doshi	-	-
Charmitha Basal	-	-
Suraina Torne#	-	-
Parajal Jozalal	-	-
Donation	-	-
Torment Core Institute	-	-
QMM Foundation	-	-
Contribution towards CSR	-	-
Torment Core Institute	-	-
UNMF Foundation	-	-
Contribution to employee benefit plans (net)	-	-
TPL Ahmaddabad Gratuity Trust	-	-
TPL Ahmaddabad Superannuation Fund	-	-

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)

(b) Related party transactions

	Subsidiaries	Associate
	Year ended 31.03.21	Year ended 31.03.21
TPL Smart Gridability Trust	-	-
TPL Smart Superannuation Fund	-	-
TPL SUGEN Gridability Trust	-	-
TPL SUGEN Superannuation Fund	-	-
TPL DORN Gridability Trust	-	-
TPL DORN Superannuation Fund	-	-
Equity contribution	615	-
Torment Solar Power Private Ltd.	0.05	-
Torment Solar Wind 2 Private Ltd.	0.05	-
Torment Solar Wind Private Ltd.	0.05	-
Purchase of shares	2.00	2.00
Torment Solagen Ltd.	-	-
Redemption of non-convertible debentures	-	-
Wind Four Renergy Private Ltd.	-	-
Wind Five Renergy Private Ltd.	-	-
Loans granted	224.97	1,429.60
Torment Phoenix Generation Ltd.	1.75	1.61
Torment Solagen Ltd.	8.25	1,388.14
Latur Renewable Private Ltd.	2.00	20.65
Jockapur Wind Farms Private Ltd.	0.50	2.20
TCL Cables Private Ltd.	222.47	-
Wind Two Renergy Private Ltd.	-	-
Loans received back	202.33	735.42
Torment Solagen Ltd.	85.05	712.82
Torment Phoenix Private Ltd.	15.07	15.40
Jockapur Wind Farms Private Ltd.	52.45	17.20
TCL Cables Private Ltd.	54.77	-
Wind Two Renergy Private Ltd.	-	-
Deposits received	-	-
Latur Renewable Private Ltd.	-	-

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)

(b) Related party transactions

	Subsidiaries	Associate
	Year ended 31.03.21	Year ended 31.03.21
Jockapur Wind Farms Private Ltd.	-	-
Torment Solar Power Private Ltd.	-	-
Torment Investments Private Ltd.	-	-
Torment Encorp Private Ltd.	-	-
Consideration received pursuant to scheme of arrangement	255.95	-
TCL Cables Private Ltd.	255.95	-
Insurance of plant and fixed assets of the Company	32.87	24.40
Torment Solagen Ltd.	-	23.00
Jockapur Wind Farms Private Ltd.	0.70	0.70
Latur Renewable Private Ltd.	0.70	0.70
TCL Cables Private Ltd.	9.44	-
Torment Solar Power Private Ltd.	22.03	-
Guarantee provided in favour of the Company	600.00	-
Jockapur Wind Farms Private Ltd.	300.00	-
Latur Renewable Private Ltd.	300.00	-
@ excluding provision for gratuity and leave encashment, insurance premium for group # Siting fee and Commission of M/s Sunara Torner and Shri Parag Joshi (jointly) ^ excluding Goods and Services Tax.		

(c) Key management personnel compensation

Short-term employee benefits

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)

(d) Related party balances

	Subsidiaries	Associates
	As at 31.03.21	As at 31.03.21
Balances at the end of the year		
Current liabilities		
Torrent Power Gtd Ltd.	34.41	-
Torrent Scargen Ltd.	0.16	-
Torrent Phoenix Generation Ltd.	-	-
Latur Renewable Private Ltd.	-	-
Jodhpur Wind Farms Private Ltd.	-	-
TCL Catalyst Private Ltd.	34.25	-
Torrent Solar Power Private Ltd.	-	-
UNMF Foundation	-	-
Torrentcore Care Institute	-	-
Torrent Investments Private Ltd.	-	-
Torrent Pharmaceuticals Ltd.	-	-
Torrent Power Services Private Ltd.	-	-
Torrent Gas Pure Ltd.	-	-
Torrent Gas Private Ltd.	-	-
Torrent Inncorp Private Ltd.	-	-
Sharda Farms	-	-
Sharda Mills	-	-
Jhal Mulla	-	-
Sunara Barua	-	-
K66 Milroy	-	-
Phinax Patel	-	-
Bhavna Doshi	-	-
Channafata Road	-	-
Sunara Torner	-	-
Phinax Jodhai	-	-
Torrent Power Group	417.59	415.17
Torrent Power Group (Liabilities)	417.59	415.17
Torrent Power Gtd Ltd.	66.60	66.60
Torrent Phoenix Generation Ltd.	47.50	47.50
Torrent Scargen Ltd.	80.07	80.07

NOTE 57: RELATED PARTY DISCLOSURES (Contd.)

(d) Related party balances

	Subsidiaries	Associates
	As at 31.03.21	As at 31.03.21
Balances at the end of the year		
Current liabilities		
Torrentcore Care Institute	-	-
UNMF Foundation	-	-
Latur Renewable Private Ltd.	110.00	110.00
Jodhpur Wind Farms Private Ltd.	111.00	111.00
TCL Catalyst Private Ltd.	2.00	2.00
Torrent Solar Power Private Ltd.	0.05	-
Torrent Scargen Ltd.	0.05	-
Torrent Phoenix Generation Ltd.	0.05	-
Torrent Power Group	15.95	14.35
Torrent Power Group (Liabilities)	15.95	14.35
Investment in non-convertible debentures including amortise premium	-	-
Wind Two Energy Private Ltd.	-	110.18
Wind Two Scargen Private Ltd.	-	110.18
Loans (including interest) (current)	116.23	76.03
Torrent Phoenix Generation Ltd.	60.98	59.23
Torrent Scargen Ltd.	52.00	16.66
Latur Renewable Private Ltd.	-	0.05
Jodhpur Wind Farms Private Ltd.	-	0.05
TCL Catalyst Private Ltd.	3.35	-
Wind Two Energy Private Ltd.	-	-
Wind Two Scargen Private Ltd.	-	-
Loans (including interest) (non-current)	914.53	948.41
Torrent Scargen Ltd.	698.83	810.62
Latur Renewable Private Ltd.	-	65.12
Jodhpur Wind Farms Private Ltd.	-	72.87
TCL Catalyst Private Ltd.	215.70	-
Wind Two Energy Private Ltd.	-	-
Wind Two Scargen Private Ltd.	-	-
Trade and other receivables	0.34	0.24
Torrentcore Care Institute	-	-
Torrent Scargen Ltd.	0.20	-

(d) Related party balances

	Subsidiaries	Associates
	As at 31.03.21	As at 31.03.21
Torrent Power Qvt Ltd.	-	-
Latur Renewable Private Ltd.	0.04	-
Jodhpur Wind Farms Private Ltd.	0.10	-
Wind Two Energy Private Ltd.	-	0.07
Torrent Pharmaceuticals Ltd.	-	-
Executive and non-executive directors	-	-
Utilisation of non-fund based limit	92.17	59.30
Guarantees given to lenders of related parties	29.50	48.38
Torrent Storage Ltd.	-	-
Jodhpur Wind Farms Private Ltd.	0.96	0.96
Latur Renewable Private Ltd.	0.96	0.96
Torrent Solar Power Private Ltd.	9.44	-
TCL Cellies Private Ltd.	52.31	-
Guarantees given in favour of related parties including interest thereon	615.59	-
Jodhpur Wind Farms Private Ltd.	368.00	-
Latur Renewable Private Ltd.	307.59	-
Guarantees given to lenders of related parties	284.59	-
Jodhpur Wind Farms Private Ltd.	-	284.50

Sitting fees and Commission of Man Suresh Torner and Shiv Prakash Joshi (nominees of the Guarantors)

(e) Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business and the outstanding balances at the year-end are unsecured.

Footnote:

1 Loans granted to related parties carries interest rate of 8.50% (Previous

(b) Categories of financial instruments

	As at March 31, 2021		As at March 31, 2020	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	95.55	95.55	79.42	79.42
Bank balance other than cash and cash equivalents	93.22	93.22	144.78	144.78
Investment in bonds and debentures	124.15	124.15	115.89	115.89
Trade receivables	1,275.52	1,275.52	1,180.58	1,180.58
Loans	1,232.44	1,232.44	1,215.31	1,215.31
Other financial assets	2,081.76	2,081.76	1,826.52	1,826.52
	4,902.64	4,902.64	4,562.50	4,562.50
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	241.63	241.63	502.20	502.20
Investment in equity instruments	0.05	0.05	0.06	0.06
	241.68	241.68	502.26	502.26

(₹ in Crore)

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2021	As at March 31, 2020		
Investment in mutual fund units	241.63	502.20	Level 1	Quoted bid prices in an active market
	241.63	502.20		

(2) Financial liabilities at amortised cost

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2021	As at March 31, 2020		
Fixed rate borrowings (Non-convertible debentures)	1,556.42	1,527.62	Level 2	Inputs other than quoted prices that are observable based on yields provided by FIMMDA
	1,556.42	1,527.62		

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Company.

The Company has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Company does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Company.

Interest rate risk

Most of the Company's borrowings are on a floating rate of interest. The Company has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Company uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

(2) Credit risk management

Credit risk is managed and limited in accordance with the type of transaction and the creditworthiness of the counterparty. The Company has established criteria for admission, approval systems, authorisation levels, exposure measurement methodologies, etc. The concentration of credit risk is limited due to the fact that the customer base is large. None of the customers accounted for more than 10% of the receivables and revenue for the year ended March 31, 2021 and March 31, 2020. The Company is dependent on the domestic market for its business and revenues.

The Company's credit policies and practices with respect to distribution areas are designed to limit credit exposure by collecting security deposits prior to providing utility services or after utility service has commenced according to applicable regulatory requirements. In respect to generation business, Company generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Company does not hold any collateral or other credit enhancements to cover its credit risks associated with its financial assets.

(4) Age of receivables and expected credit loss

The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experienced and adjusted for forward-looking information. The expected credit loss allowance is based on ageing of the days the receivables are due.

The concentration of credit risk is very limited due to the fact that the large customers are mainly government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Other financial assets:

The Company is having balances in cash and cash equivalents, term deposits with banks, Inter corporate deposits, Loans to related parties, investments in government securities and investment in mutual funds. With respect to investments, the Company limits its exposure to credit risk by investing in liquid securities with counterparties depending on their Composite Performance Rankings (CPR) published by CRISIL. The Company's investment policy lays down guidelines with respect to exposure per counterparty, rating, processes in terms of control and continuous monitoring. The Company therefore considers credit risks on such investments to be negligible. Loans receivable from related parties have negligible credit risk and hence no risk of default is perceived on them.

maturity of borrowings)^	3,278.67	-	-	3,278.67
	4,256.21	-	-	4,256.21
Total financial liabilities	4,256.21	4,452.30	4,021.79	12,730.30

As at March 31, 2020

	(₹ in Crore)			
	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	4,995.18	5,626.58	10,621.76
Trade payables	-	73.88	61.40	135.28
Lease liabilities	-	22.69	27.48	50.17
Other financial liabilities	-	0.24	-	0.24
	-	5,091.99	5,715.46	10,807.45
Current financial liabilities				
Trade payables	1,027.26	-	-	1,027.26
Lease liabilities	6.95	-	-	6.95
Other financial liabilities (including interest and current maturity of borrowings)^	3,287.01	-	-	3,287.01
	4,321.22	-	-	4,321.22
Total financial liabilities	4,321.22	5,091.99	5,715.46	15,128.67

^ Transactions cost reduced from the borrowing is excluded.

	As at March 31, 2021	As at March 31, 2020
Opening balance	21.57	24.29
Add: Grants during the year	-	-
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 35]	(2.72)	(2.72)
Closing balance	18.85	21.57
Non-current portion [Refer note 28]	16.39	18.85
Current portion [Refer note 32]	2.46	2.72
	18.85	21.57

Loans	1.96
Other financial assets	0.03
Other non-current assets	3.60
Current assets	
Inventories	61.27
Financial assets	
Trade receivables	156.22
Cash and cash equivalents	0.34
Bank balances other than cash and cash equivalents	1.88
Loans	1.11
Other financial assets	0.17
Other current assets	4.07
Total assets (A)	280.44
Non-current liabilities	
Financial liabilities	
Provisions	2.18
Current liabilities	
Financial liabilities	
Trade payables	
Total outstanding dues of micro and small enterprises	0.91
Total outstanding dues other than micro and small enterprises	17.17
Other financial liabilities	5.10
Other current liabilities	4.40
Provisions	1.00
Total liabilities (B)	30.76
Book value (net of related liabilities) (A-B)	249.68

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

The following Key Audit Matters have been reproduced from our report, of even date, on the audit of standalone financial statements of the Holding Company.

the unutilised tax credits, representing Minimum Alternate Tax (MAT) paid on the accounting profit in the current year and in earlier years in which the Holding Company did not have normal taxable profit. The assets have been recognised on the basis of Holding Company's assessment of availability of future taxable profits to offset the accumulated deferred tax assets on the unutilised tax credits.

The future taxable profit projections involve several key assumptions including expected demand of electricity, future prices of fuel, expected tariff rates of electricity, exchange rate and current electricity market scenario covering the period over which MAT Credit can be claimed as per the Income-tax Act, 1961. In preparing the profit projections, management has considered, past trends, applicable tariff regulations/ agreements and current and likely future state of the industry.

We considered this a key audit matter as the amount of deferred tax assets on unutilised tax credits is material to the financial statements and significant management judgement is required in assessing the recoverability of accumulated deferred tax assets on unutilised tax credits based on significant assumptions underlying the forecast of future taxable profits. Further, recoverability of deferred tax assets depends on the achievement of Holding Company's future business plans.

- Assessed and tested the design and operating effectiveness of the Holding Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits.
- Reviewed the Holding Company's accounting policy in respect of recognizing deferred tax assets on unutilised tax credits.
- Assessed the reasonableness of the assumptions underlying profit projections made by management, by reviewing the past trends, available tariff orders and relevant economic and industry indicators.
- Evaluated whether the tax credit entitlements are legally available to the Holding Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961.
- Checked the arithmetic accuracy of the underlying calculations of the profit projections.
- Performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within reasonably foreseeable range.
- Reviewed the adequacy of disclosures made in the financial statements with regard to deferred taxes.

Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.

- concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.
8. The respective Board of Directors of the companies included in the Group and of its associate are responsible for overseeing the financial reporting process of the Group and of its associate.

achieves fair presentation).

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associate to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

- (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the report of the other auditors.
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including other comprehensive income), Consolidated Statement of Changes in Equity and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account and records maintained for the purpose of preparation of the consolidated financial statements.
- (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act.
- (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2021 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies and associate company, none of the directors of the Group companies, its associate company is disqualified as on March 31, 2021 from being appointed as a director in terms of Section 164(2) of the Act.

system) with reference to financial statements and operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to financial statements.

Meaning of Internal Financial Controls with reference to Financial Statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Trade payables	24	-	-
Total outstanding dues of micro and small enterprises		116.11	109.71
Lease liabilities	47	30.96	33.05
Other financial liabilities	25	1.17	0.24
Deferred tax liabilities (net)	43	527.51	552.80
Other non-current liabilities	26	1,160.34	1,132.44
		8,508.27	9,624.54
Current liabilities			
Financial liabilities			
Borrowings	27	-	3.28
Trade payables	28		
Total outstanding dues of micro and small enterprises		38.17	25.19
Lease liabilities		930.62	1,012.72
Other financial liabilities	47	5.05	4.91
Other current liabilities	29	2,908.14	2,784.65
Provisions	30	542.02	584.01
Current tax liabilities (net)	31	335.30	372.87
	32	44.55	21.70
		4,809.85	4,809.53
		23,538.72	23,623.04

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Priyanshu Gundana
Partner
Membership No.: 109553
Mumbai, May 20, 2021

Lalit Malik
Chief Financial Officer

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Rahul Shah
Company Secretary

Ahmedabad, May 20, 2021

Other comprehensive income for the year, net of tax	4.11	(29.02)
Total comprehensive income for the year	1,299.98	1,149.86
Profit for the year attributable to:		
Owners of the Company	1,290.93	1,174.15
Non-controlling interests	4.94	4.73
	1,295.87	1,178.88
Other comprehensive income for the year attributable to:		
Owners of the Company	4.11	(29.02)
Non-controlling interests	-	-
	4.11	(29.02)
Total comprehensive income for the year attributable to:		
Owners of the Company	1,295.04	1,145.13
Non-controlling interests	4.94	4.73
	1,299.98	1,149.86
Basic and diluted earnings per share of face value of ₹10 each (in ₹)	52	26.86
		24.43

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Priyanshu Gundana
Partner
Membership No.: 109553
Mumbai, May 20, 2021

Lalit Malik
Chief Financial Officer

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Rahul Shah
Company Secretary

Ahmedabad, May 20, 2021

Other financial assets	(168.57)	(27.51)
Other assets	65.89	(31.14)
Adjustments for increase / (decrease) in operating liabilities:		
Trade payables	(66.11)	209.45
Other financial liabilities	71.55	45.83
Provisions	(32.46)	12.81
Other liabilities	(47.50)	(20.56)
Cash generated from operations	3,243.34	3,908.09
Taxes paid (net)	(255.78)	(297.68)
Net cash flow generated from operating activities	2,987.56	3,610.41
Cash flow from investing activities		
Payments for property, plant and equipment & intangible assets	(1,295.97)	(1,356.78)
Proceeds from sale of property, plant and equipment & intangible assets	7.42	9.55
Non-current redemption of debentures from associates	-	191.62
Purchase of non-current investments	(1.86)	(1.92)
Loans to related parties	(18.70)	(153.02)
Repayment of loans from related parties	19.00	0.80
(Investments) / redemption in bank deposits (net) (maturity more than three months)	91.90	24.43
(Investments) / redemption in inter corporate deposits	(100.24)	25.00
Interest received	99.88	63.94
(Purchase of) / proceeds from current investments (net)	288.11	67.25
Net cash generated from / (used in) investing activities	(910.46)	(1,129.13)

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N / N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553
Mumbai, May 20, 2021

Lalit Malik
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 20, 2021

A. EQUITY SHARE CAPITAL [Refer note 21]

Balance as at April 01, 2019	
Changes in equity share capital during the year	
Balance as at March 31, 2020	
Changes in equity share capital during the year	
Balance as at March 31, 2021	

B. OTHER EQUITY [Refer note 22]

	Securities premium	Dividend reserve
Balance as at April 01, 2019	0.03	
Profit for the year	-	
Other comprehensive income for the year, net of income tax	-	
Total comprehensive income for the year	-	
Transfer to debenture redemption reserve	-	
Transfer to contingency reserve	-	
Transaction with owners in their capacity as owners:		
Dividend (including interim dividend) paid	-	
Dividend distribution tax paid	-	
Balance as at March 31, 2020	0.03	
Profit for the year	-	
Other comprehensive income for the year, net of income tax	-	
Total comprehensive income for the year	-	
Transfer to debenture redemption reserve	-	
Transfer to contingency reserve	-	
Transaction with owners in their capacity as owners:		
Dividend (including interim dividend) paid	-	
Balance as at March 31, 2021	0.03	
See accompanying notes forming part of the consolidated financial statements		

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012345 / N30016

Piyanshu Gundana
Partner
Membership No.: 109553
Mumbai, May 20, 2021

As prescribed by the Ind AS, if the particular Ind AS is not in conformity with the applicable laws, the provisions of the said law shall prevail and financial statements shall be prepared in conformity with such laws. Consequently, the Group has applied this norm while preparing the financial statements.

Historical cost convention

The financial statements have been prepared on an accrual basis under the historical cost convention except for following which have been measured at fair value;

- Defined benefit plan assets

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Principles of consolidation:

Subsidiaries

The consolidated financial statements comprise the financial statements of Torrent Power Limited and its subsidiaries. Subsidiaries are all entities over which the Company has control. The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Consolidation of an entity begins when the Company obtains control over the entity and ceases when the Company loses control of the entity. Specifically, income and expenses of an entity acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control or until the date when the Company ceases to control the entity, respectively.

are recognised to the extent that the Group has incurred legal or constructive obligation or made payment on behalf of the associate or joint venture.

2.3 Business combinations and goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Acquisition-related costs are expensed as incurred.

The excess of the

- consideration transferred;
- amount of any non-controlling interest in the acquired entity, and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised in other comprehensive income and accumulated in equity as capital reserve provided there is clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. In other cases, the bargain purchase gain is recognised directly in equity as capital reserve.

generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

2.4 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Group should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the consolidated balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

2.5 Property, plant and equipment:

Tangible fixed assets

Freehold land is carried at historical cost. All other items of property, plant and equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the consolidated balance sheet at cost less accumulated depreciation and accumulated impairment losses, except that on adoption of Ind AS, property, plant and equipment had been measured at deemed cost, using the net carrying value as per previous GAAP as at April 01, 2015.

Capital work in progress in the course of construction for production, supply or administrative purposes is carried at cost, less any recognised impairment loss. Cost includes purchase price, taxes and duties, labour cost and other directly attributable costs incurred upto the date the asset is ready for its intended use. Such property, plant and equipment are classified to the appropriate categories when completed and ready for intended use.

Furniture and fixtures	5.28% to 15.00%	6.33%	6.33% to 9.50%
Vehicles	9.50%	9.50%	9.50% to 11.88%
Office equipment	3.60% to 19.00%	5.28% to 15.00%	6.33% to 19.00%

© governed by the applicable regulations of U. P. Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

2.6 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Group, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the group and the cost of the item can be measured reliably.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from its current use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

Investment properties, other than free hold land, are depreciated using straight line method over their estimated useful lives.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the consolidated statement of profit and loss in the period of their accrual.

2.10 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the consolidated balance sheet.

2.11 Inventories:

Raw materials, fuel, stores and spares, packing materials, loose tools, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of inventories includes purchase price and all other costs incurred in bringing the inventories to their present location and condition. Costs are assigned to individual items of inventory on the weighted average basis except for inventory of Regasified Liquefied Natural Gas (RLNG) which is valued using specific identification method considering its procurement for beneficiary usage or others. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Transactions and balances

In preparing the financial statements of each individual Group entity transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange differences arising on foreign currency borrowings are presented in the consolidated statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Group's monetary items at rates different from those at which they were initially recorded during the financial year are recognised as income or expense in the financial year in which they arise.

2.14 Employee benefits:

Defined contribution plans

Contributions retirement benefit plans in the form of provident fund, employee state insurance scheme, pension scheme and superannuation schemes as per regulations are charged as an expense on an accrual basis when employees have rendered the service. The Group has no further payment obligations once the contributions have been paid.

Defined benefits plans

The liability or asset recognised in the consolidated balance sheet in respect of the retirement benefit plan i.e. gratuity plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated by an actuary using projected unit credit method.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from 'profit before tax' as reported in the consolidated statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

2.18 Financial instruments:

Financial assets

i) Classification of financial assets (including debt instruments)

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and
- those measured at amortised cost.

• Fair value through profit or loss (FVTPL)

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented net in the consolidated statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

iv) Impairment of financial assets

The Group assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115 only, the Group follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses.

The Group applies the Ind AS 109 simplified approach to measure expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses, trade receivables have been grouped based on days past due. The Group recognises expected loss rates in case of unbilled revenue after considering applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or waived off or have expired. An exchange between the Group and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

2.19 Contributed equity:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Transaction costs of an equity transaction shall be accounted for in other equity.

commenced at date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

2.21 Exceptional items:

When items of income or expense are of such nature, size and incidence that their disclosure is necessary to explain the performance of the Company for the year, the company makes a disclosure of the nature and amount of such items separately under the head "Exceptional items."

2.22 Amount presented and rounding off:

All amounts in the financial statements and notes have been presented in ₹ Crore (except for share data) rounded to two decimals as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated. Figures below ₹50,000 are denoted by "".

estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on exchange rates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 42(1)]

3.3 Taxes:

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits from the Income Tax Act, 1961.

Deferred tax assets are recognised for unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Management judgement is required to determine the amount of deferred tax assets for unused tax credits that can be recognised, based upon the likely timing and the level of future taxable profits. [Refer note 43(d)]

As at March 31, 2021

Particulars	Gross carrying amount	
	As at April 01, 2020	Deductions during the year
Freehold land	441.74	-
Buildings	1,545.97	118.33
Railway siding	1.86	-
Plant and machinery	21,651.97	860.13
Electrical fittings and apparatus	43.32	8.60
Furniture and fixtures	48.53	8.77
Vehicles	27.55	2.60
Office equipment	142.37	23.39
Total	22,865.31	1,021.82
		25.76

As at March 31, 2020

Particulars	Gross carrying amount	
	As at April 01, 2020	Deductions during the year
Freehold land	403.10	32.64
Buildings	1,506.68	43.98
Railway siding	1.86	-
Plant and machinery	20,083.15	1,467.41
Electrical fittings and apparatus	40.26	3.12
Furniture and fixtures	45.11	3.63
Vehicles	23.50	5.71
Office equipment	121.07	22.46
Total	22,236.73	1,675.35
		37.32

NOTE 5 : RIGHT-OF-USE ASSETS

As at March 31, 2021

Particulars	Gross carrying amount	
	As at April 01, 2020	Transition during the year Ind AS 116
Land	170.11	- 1.85
Buildings	27.70	-
Plant and machinery	0.38	-
Office equipment	0.14	-
Total	198.33	- 1.85

Particulars	Gross carrying amount	
	As at April 01, 2019	Transition during the year Ind AS 116
Land	-	174.59
Buildings	-	13.21
Plant and machinery	-	0.38
Office equipment	-	0.14
Total	-	188.32

Footnotes:

- The above right-of-use assets have been mortgaged and hypothecated
- Refer note 47 for disclosure relating to right-of-use asset.

Computer software	42.31	14.21	-	56.52	27.33	10.75	-	38.08	18.44
Total	42.31	14.21	-	56.52	27.33	10.75	-	38.08	18.44

As at March 31, 2020

Particulars	Gross carrying amount			Accumulated depreciation				Net carrying amount	
	As at April 01, 2019	Additions during the year	Deductions during the year	As at March 31, 2020	As at April 01, 2019	For the year	Deductions during the year	As at March 31, 2020	As at March 31, 2020
Computer software	36.96	5.80	0.45	42.31	19.65	8.13	0.45	27.33	14.98
Total	36.96	5.80	0.45	42.31	19.65	8.13	0.45	27.33	14.98

Footnote:

- The above computer software has been mortgaged and hypothecated to secure borrowings of the Company and certain subsidiaries [Refer note 23].

8.97% GOI Bond - 2030	1.01	1.01
8.28% GOI Bond - 2027	1.30	1.30
7.35% GOI Bond - 2024	1.32	1.32
8.40% GOI Bond - 2024	1.63	1.63
6.68% GOI Bond - 2031	1.69	1.69
7.37% GOI Bond - 2023	1.93	1.93
7.57% GOI Bond - 2033	1.92	1.92
7.73% GOI Bond - 2034	1.86	-
	13.97	12.11
	124.20	115.95
Aggregate amount of quoted investments	13.97	12.11
Aggregate amount of unquoted investments	110.23	103.84
	124.20	115.95
Aggregate amount of provision for impairment in value of investments	0.63	0.63
Aggregate amount of market value of quoted investments	14.85	13.03

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 companies, i.e. Tornascent Care Institute and UNM Foundation, under the Companies Act, 2013 for the purpose of carrying out charitable activities.

The National Company Law Tribunal (NCLT) has approved a Scheme of Arrangement ("Scheme") in the nature of Amalgamation of UNM Foundation with Tornascent Care Institute vide order dated March 23, 2021. The Scheme is effective from April 01, 2020 ("Appointed Date").

\$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 22 - Contingency reserve]

NOTE 12 : OTHER NON-CURRENT ASSETS

Unsecured (considered good)

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Capital advances	103.89	68.62
Advances for goods and services	148.85	170.28
Balances with government authorities	62.97	63.42
Prepaid expenses	21.77	25.03
	337.48	327.35

Aggregate amount of impairment in value of investments -

Aggregate amount of market value of quoted investments -

NOTE 15 : TRADE RECEIVABLES

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Trade receivables		
Secured - Considered good #	557.28	514.65
Unsecured - Considered good	863.01	765.10
- Credit impaired	250.42	235.80
	1,670.71	1,515.55
Less: Allowance for bad and doubtful debts	250.42	235.80
	1,420.29	1,279.75

Group holds security deposits in respect of electricity receivables.

Footnotes:

- 1 Refer note 56 for credit risk related disclosures.
- 2 Refer note 23 for charge on current assets including trade receivables.

Loans to related parties (net of loan sold)	-	0.37
Security deposits	30.61	15.31
	30.61	15.38

	76.36	117.11
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In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

- 4 Details of shareholders holding more than 5% shares in the Company :

Name of the Shareholder	As at March 31, 2021		As at March 31, 2020	
	No. of shares	% holding	No. of shares	% holding
Torrent Investments Private Limited (Formerly known as Torrent Private Limited)	25,74,22,311	53.56%	25,74,22,311	53.56%
Gujarat State Financial Services Ltd.	4,68,71,621	9.75%	4,68,71,621	9.75%
Axis Mutual Fund Trustee Ltd.	3,75,81,431	7.82%	2,95,72,552	6.15%

- 5 Aggregate number of equity shares allotted as fully paid up pursuant to contract(s) without payment being received in cash:

During FY 2015-16, the Company allotted 81,68,476 equity shares of ₹10 each at par to the shareholders of Torrent Cables Limited pursuant to the scheme of amalgamation of Torrent Energy Limited and Torrent Cables Limited with Torrent Power Limited as approved by the Hon'ble Gujarat High Court vide its order dated August 13, 2015.

- 6 Distributions made and proposed:

Interim dividend for FY 2020-21 of ₹5.50 per equity share [Previous year - ₹11.60 per equity share (including ₹5.00 per equity share as a special dividend)] aggregating to ₹264.34 Crore [Previous year - ₹672.11 Crore (including dividend distribution tax of ₹114.60 Crore)] was paid in March 2021.

The Board of Directors at its meeting held on May 20, 2021 has recommended a dividend of 55.00% (₹5.50 per equity share of par value ₹10 each). The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹264.34 Crore.

have been made against such reserve.

- 4 Special reserve:

As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.

- 5 General reserve:

General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

- 6 Retained earnings:

The retained earnings reflect the profit of the Group earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

¶ After considering unamortised expense of ₹20.37 Crore as at March 31, 2021 and ₹25.93 Crore as at March 31, 2020.

After considering unamortised expense of ₹4.49 Crore as at March 31, 2021 and ₹0.52 Crore as at March 31, 2020.

Current maturities		
Secured loans - at amortised cost		
Non convertible debentures		
10.35% Series 1	183.32	183.32
10.35% Series 2A, 2B & 2C	100.00	100.00
8.95% Series 3A, 3B & 3C	80.00	-
	363.32	283.32
Term loans \$		
From banks	741.23	783.74
	741.23	783.74
Unsecured loans - at amortised cost		
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	3.82
	1,108.37	1,070.88
Amount disclosed under the head 'Other current financial liabilities' [Refer note 29]	(1,108.37)	(1,070.88)
	-	-

\$ After considering unamortised expense of ₹3.09 Crore as at March 31, 2021 and ₹4.27 Crore as at March 31, 2020.

2024-25	469.87	290.00
2025-26	670.48	200.00
2026-27	690.76	-
2027-28	490.95	-
2028-29	438.46	-
2029-30	438.46	-
2030-31	438.46	-
2031-32	383.65	-
2032-33	272.98	-

- 3 Undrawn term loans from banks, based on approved facilities, were ₹980.00 Crore as at March 31, 2021.

© Security deposits from consumers in the Group's business, which is in the nature of utility, are generally not repayable within a period of twelve months based on historical experience.

^ Including dues to micro and small enterprises for ₹7.91 Crore (March 31, 2020 - ₹1.08 Crore) [Refer note 46]

NOTE 30 : OTHER CURRENT LIABILITIES

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Credit balances of consumers [Refer note 44(d)]	85.71	87.48
Service line deposits from consumers [Refer note 44(c)]	189.85	194.82
Deferred revenue		
Contribution received from consumers [Refer note 44(b)]	83.26	77.42
Capital grant from government [Refer note 50(b)]	2.46	2.72
Statutory dues	172.98	202.77
Sundry payables	7.76	18.80
	542.02	584.01

	March 31, 2021	March 31, 2020
Provision for taxation (net of tax paid)	44.55	21.70
	44.55	21.70

	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Interest income from financial assets at amortised cost		
Deposits	28.38	38.66
Consumers	36.40	28.27
Contingency reserve investments	1.01	0.87
Loans to related parties [Refer note 55(b)]	13.02	6.29
Others	0.85	7.87
	79.66	81.96
Gain on disposal of property, plant and equipment	3.56	2.89
Gain on sale of current investments in mutual funds	19.35	49.77
Gain on sale of non-current investments	-	8.64
Net gain arising on financial assets / liabilities measured at amortised cost	11.39	13.84
Net gain / (loss) arising on current investments in mutual funds measured at fair value through profit or loss	2.75	(1.79)
Net gain on foreign currency transactions	0.22	0.01
Miscellaneous income	24.88	22.27
	141.81	177.59

Salaries, wages and bonus	610.60	605.32
Contribution to provident and other funds [Refer note 48.1]	42.67	39.79
Employees welfare expenses	26.26	26.02
Compensated absences	19.31	33.95
Gratuity [Refer note 48.2(a)(3)]	19.96	13.70
	718.80	718.78
Less: Allocated to capital works, repairs and other relevant revenue accounts #	179.86	186.73
	538.94	532.05

includes allocated to capital works of ₹84.60 Crore (Previous year - ₹88.71 Crore)

Less: Allocated to capital works		
	1,279.55	1,304.27

Allowance for doubtful debts (net of recovery)	14.62	62.43
Miscellaneous expenses	94.19	103.70
	1,106.21	1,363.91
Less: Allocated to capital works, repairs and other relevant revenue accounts ^	69.95	77.06
	1,036.26	1,286.83

^ Includes allocated to capital works of ₹9.82 Crore (Previous year - ₹11.49 Crore)

	net assets	Cretej	profit	Cretej	other comprehensive income	Cretej	total comprehensive income	Cretej
Torrent Power Limited - Parent Company	100.30%	10,251.23	102.24%	1,324.91	82.48%	3.39	102.18%	1,328.30
Torrent Solargen Limited	(0.16)%	(16.26)	(1.67)%	(21.62)	-	-	(1.66)%	(21.62)
Torrent Pipavav Generation Limited	0.31%	31.55	(0.12)%	(1.57)	-	-	(0.12)%	(1.57)
Torrent Power Grid Limited	0.97%	98.67	1.10%	14.29	(0.24)%	(0.01)	1.10%	14.28
Latur Renewable Private Limited	1.08%	110.65	0.54%	6.95	-	-	0.53%	6.95
Jodhpur Wind Farms Private Limited	1.08%	110.07	0.03%	0.38	-	-	0.03%	0.38
TCL Cables Private Limited	(0.14)%	(14.10)	(0.74)%	(9.55)	17.76%	0.73	(0.68)%	(8.82)
Torrent Solar Power Private Limited	0.00%	0.04	0.00%	(0.01)	-	-	0.00%	(0.01)
Torrent Saurya Urja 2 Private Limited	0.00%	0.04	0.00%	(0.01)	-	-	0.00%	(0.01)
Torrent Saurya Urja 3 Private Limited	0.00%	0.04	0.00%	(0.01)	-	-	0.00%	(0.01)
Non-controlling interests	0.36%	36.36	0.38%	4.94	-	-	0.38%	4.94
Consolidation adjustments	(3.80)%	(387.69)	(1.76)%	(22.83)	-	-	(1.76)%	(22.83)
Total	100.00%	10,220.60	100.00%	1,295.87	100.00%	4.11	100.00%	1,299.98

MW DGEN Mega Power Project located at Dahej, Gujarat ("DGEN"). DGEN started commercial operations with effect from November 2014 and thereafter has operated only intermittently / partially, including during the year ended March 31, 2021.

In view of the above and given the current economic environment, the Group has carried out an impairment assessment of DGEN as at March 31, 2021 by considering the recoverable amount based on value in use of DGEN in accordance with Indian Accounting Standard 36 'Impairment of Assets'. Value in use is determined considering a discount rate of 13% and cash flow projections over a period of 19 years (March 31, 2020 - 20 years), being the balance useful life of DGEN in terms of Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 on the basis that the Group expects to supply power in the future, inter alia, under long term power purchase agreements. Based on the assessment, recoverable value of PPE by using value in use is ₹3,007.00 Crore which is higher than the carrying amount of PPE and accordingly no additional impairment provision is required as at March 31, 2021. The management has conducted sensitivity analysis on impairment tests of the value in use of DGEN. The management believes that reasonable possible change in key assumption would not materially impact the impairment assessment as at March 31, 2021.

During the previous year, the Group had provided for impairment loss of ₹1,000.00 Crore, which has been disclosed as 'Exceptional items'.

Assessment of 'value-in-use' involves several key assumptions including expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry. Management reviews such assumptions periodically to factor updated information based on events or changes in circumstances in order to make fresh assessment of impairment, if any.

Income tax expense	(31.95)	(1,013.30)
	255.90	(704.04)
(b) Reconciliation of income tax expense		
	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Profit before tax	1,551.77	474.84
Expected income tax expense calculated using tax rate at 34.944% (Previous year - 34.944%)	542.25	165.93
Adjustment to reconcile expected income tax expense to reported income tax expense:		
Effect of:		
Expenditure not deductible under Income Tax Act	16.33	60.10
Tax incentives / deductions	(327.57)	(333.00)
Impairment loss of DGEN unit	-	160.65
Unutilised Minimum Alternate Tax (MAT) credit recognised due to change in MAT rate from 21.55% to 17.47%	-	(463.40)
Unabsorbed depreciation / tax credits and other items	24.88	(294.76)
Total	255.89	(704.48)
Adjustment for current tax of prior periods	0.01	0.44
Total expense as per statement of profit and loss	255.90	(704.04)

Disclosed as deferred tax liabilities (net)	(527.51)	(552.80)
	(503.01)	(532.94)

(2) Movement of deferred tax assets / (liabilities)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2021

	(₹ in Crore)			
	Opening balance	Recognised in profit or loss	Recognised in OCI	Closing balance
Property, plant and equipment	(2,138.73)	(199.01)	-	(2,337.74)
Provision for compensated absences	41.59	2.07	-	43.66
Provision for onerous contracts	56.53	0.36	-	56.89
Allowance for doubtful debts	33.29	12.92	-	46.21
Unabsorbed depreciation / MAT credit entitlement	1,477.02	210.28	-	1,687.30
Others	(2.64)	5.33	(2.02)	0.67
	(532.94)	31.95	(2.02)	(503.01)

2023-24	4.21
2024-25	4.61
2025-26	4.47
2026-27	0.28
	16.81

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

	As at March 31, 2021	As at March 31, 2020
Opening balance	1,135.76	1,021.44
Add: Contribution received during the year	116.04	185.69
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 33]	(79.90)	(71.37)
Closing balance	1,171.90	1,135.76
Non-current portion [Refer note 26]	1,088.64	1,058.34
Current portion [Refer note 30]	83.26	77.42
	1,171.90	1,135.76

(c) Service line deposit from consumers

	As at March 31, 2021	As at March 31, 2020
Opening balance	194.82	258.73
Add: Received during the year (net of refund)	111.07	121.78
Less: Transferred to contribution received from consumers	(116.04)	(185.69)
Closing balance [Refer note 30]	189.85	194.82

(₹ in Crore)

Footnote:

- 1 Service line deposits are collected against the cost of capital work to be carried out for new connection or load extension on application by consumers. On the completion of the work, such contribution is transferred to deferred revenue under the head liabilities.

evaluation, management has concluded that effect of the aforesaid judgement on the Group is not material and accordingly, no provision has been made in the financial statements.

Footnotes :

- 1 Management believes that its position on the aforesaid direct and indirect tax demands and other claims against the Group will likely be upheld in the appellate process and accordingly no provision has been made in the consolidated financial statements for such demands.
- 2 In respect of the above, the expected outflow will be determined at the time of final resolution of the dispute / matters. No reimbursement is expected.
- 3 Break up of claims against the Group not acknowledged as debt

(₹ in Crore)

	As at March 31, 2021	As at March 31, 2020
Claim of regulatory surcharge including interest in franchise distribution business	68.59	-
Penalty order issued by Directorate General of Foreign Trade (DGFT) in distribution business	50.53	-
Demand including interest for Tariff Indexation for excess energy withdrawn in franchise distribution business	15.35	12.88
Compensation payable for short lifting for material	8.46	-
Others	5.43	8.51
	148.36	21.39

beyond the appointed day during each accounting year	4.77	1.07
(i) Principal amounts paid to the suppliers beyond the appointed day during the year	-	0.01
(ii) Interest paid under section 16 of the MSMED Act, to the suppliers, beyond the appointed day during the year	-	-
(d) The amount of interest due and payable for the year (where the principal has been paid but interest under the MSMED Act, 2006 not paid)	0.09	0.15
(e) The amount of interest accrued and remaining unpaid [b+c]	0.12	0.18
(f) The amount of further interest due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23.	-	-

Depreciation charge of right-of-use assets	39	11.42	10.44
Interest expense (included in finance costs)	38	3.32	2.54
Expense relating to short-term leases (included in other expenses)	40	1.55	3.91
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	0.17	0.39
Total		16.46	17.28

(iii) **Maturities of lease liabilities:**

As at March 31, 2021

	(₹ in Crore)	
	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	6.77
Between 1 year and 5 years	17.73	-
5 years and above	29.50	-
Total	47.23	6.77

purchased. Accordingly the payments by TPL to MSEDCL is variable in nature and there are no fixed payments in the form of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by TPL for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as 'Electrical energy purchased' in the Financial Statements.

(vi) **Impact on the financial statements as on April 01, 2019 due to adoption of Ind AS 116**

The Group has adopted Ind AS - 116 retrospectively from April 01, 2019, but has not restated comparatives for year ended March 31, 2019, as permitted under the specific transition provisions in the standard. The reclassifications and the adjustments arising from the new leasing rules are therefore recognised in the opening balance sheet on April 01, 2019. The new accounting policies are disclosed in note 2.20.

On adoption of Ind AS - 116, the Group recognised lease liabilities in relation to leases which had previously been classified as 'operating leases' under the principles of Ind AS - 17, Leases. These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as of April 01, 2019. The weighted average lessee's incremental borrowing rate applied to the lease liabilities on April 01, 2019 was 9.00%.

during the tenure of the lease term. Further the Group has not entered into any material financial lease. Accordingly there were no future minimum lease payments under non-cancellable operating leases required to be disclosed under the previous standard Ind AS - 17.

^ The Group has extension and termination options available in the lease contracts and the majority of extension and termination options are exercisable by the Group. Accordingly the Group on adoption of Ind AS 116 Leases has recognised such lease liabilities by measuring present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as of April 01, 2019.

(c) Adjustments recognised in the balance sheet on April 01, 2019

The change in accounting policy affected the following items in the balance sheet on April 01, 2019:

- Right-of-use assets – increased by ₹188.32 Crore
- Prepayments – decreased by ₹161.69 Crore
- Lease liabilities – increased by ₹26.63 Crore

The plans typically expose the Group to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below :

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2021. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

Obligation at the beginning of the year	289.52	244.20
Current service cost	16.18	12.24
Interest cost	20.06	19.34
Actuarial (gains) / losses from changes in demographic assumptions	-	2.39
Actuarial (gains) / losses arising changes in financial assumptions	(3.72)	21.64
Actuarial (gains) / losses from experience adjustments	(2.15)	19.92
Liability transferred in	0.23	0.16
Liability transferred out	(0.66)	(0.35)
Benefits paid directly by employer	(1.57)	(2.80)
Benefits paid	(28.90)	(27.22)
Obligation at the end of the year	288.99	289.52
(2) Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	235.02	225.81
Interest income	16.28	17.88
Return on plan assets (excluding interest income)	0.26	(0.65)
Contributions received	54.08	19.20
Benefits paid	(28.90)	(27.22)
Plan assets at the end of the year, at fair value	276.74	235.02
(3) Gratuity cost recognized in the statement of profit and loss		
Current service cost	16.18	12.24
Interest cost, net	3.78	1.46
Net gratuity cost recognized in the statement of profit and loss [Refer note 37]	19.96	13.70

as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

- (h) The weighted average duration of the gratuity plan based on average future service is 19 years (Previous year - 19 years).
- (i) Expected contribution to the plan for the next annual reporting period is ₹12.25 Crore (Previous year - ₹54.60 Crore).
- (j) **Cash flow projection from the fund**

Projected benefits payable in future years from the date of reporting

	Funded plan- Gratuity	
	As at March 31, 2021	As at March 31, 2020
1 st following year	36.23	32.13
2 nd following year	20.07	22.52
3 rd following year	29.94	32.91
4 th following year	28.60	29.19
5 th following year	26.35	27.60
sum of years 6 to 10 th	92.85	96.03

(i) TransSonic Cells Institute	34.14	17.21
(ii) UNM Foundation	-	2.11
	34.14	19.35

NOTE 51: DONATIONS INCLUDE POLITICAL CONTRIBUTIONS AS UNDER

	(₹ in Crore)	
	Year ended March 31, 2021	Year ended March 31, 2020
Electoral Bonds	-	35.00
Prudent Electoral Trust	10.00	-
	10.00	35.00

	As at March 31, 2021	As at March 31, 2020
No. of CERs inventory	3,91,411	3,052
No. of CERs under certification	52,04,387	3,91,411

Inventories of CERs are valued at cost or market price whichever is lower.

NOTE 55: RELATED PARTY DISCLOSURES

(a) Names of related parties and description of relationship:

1 Parent Company	Torrent Investments Private Limited
2 Associates	Power Grid Corporation of India Ltd. (2019), Wind Five Renewable Energy Fund, TPL (Amreli-based) Gratiu Superannuation Fund, TPL Fund, TPL (QGEN) Gratiu Fund
3 Employee benefits plans*	
4 Key management personnel	Sanir Mehta Jinal Mehta
5 Non-executive directors	Sudhir Mehta Pankaj Patel Sanir Banua Keki Misry Bhavina Doshi Dharmishtha Raval Pankaj Joshi (upto Decem Sunaina Tomar (w.e.f. Fe Varun Mehta
6 Relatives of key management personnel*	
7 Other entities where the company has 50% voting right / enterprises controlled by the Parent Company	Tornascent Care Institute Limited, Torrent Gas Pipeline Private Limited, Finicorp Private Limited

* where transactions have taken place during the year and / or previous year or where the company is a party to the transaction.
The National Company Law Tribunal (NCLT) has approved a Scheme of Arrangement dated March 23, 2021. The Scheme is effective from April 01, 2020 ("Appointed Date").

NOTE 55: RELATED PARTY DISCLOSURES (Contd.)

(b) Related party transactions

	Year ended 31.03.21	Year ended 31.03.20
Nature of transactions		
Sale of cables	-	-
Torrent Pharmaceuticals Ltd.	-	-
Tornascent Care Institute	-	-
Sale of electricity	-	-
Tornascent Care Institute Ltd.	-	-
Executive and non-executive directors	-	-
UNM Foundation	-	-
Tornascent Care Institute	-	-
Interest income	13.02	6.29
Power Grid Corporation of India Ltd.	13.02	6.29
Dividend paid	4.21	5.38
Torrent Investments Private Ltd.	-	-
Power Grid Corporation of India Ltd.	4.21	5.38
Services provided (rent income including tax)	-	-
UNM Foundation	-	-
Tornascent Care Institute	-	-
Torrent Investments Private Ltd.	-	-
Torrent Power Systems Private Ltd.	-	-
Torrent Gas Private Ltd.	-	-
Torrent Power Private Ltd.	-	-
Services received / remuneration paid	0.79	0.76
Tornascent Care Institute	0.79	0.76
Power Grid Corporation of India Ltd.	-	-
Transmission income	41.86	43.53
Power Grid Corporation of India Ltd.	41.86	43.53
Shared expenditure charged to	0.29	0.27
Wind Two Renewable Private Ltd.	0.29	0.24
Wind Five Renewable Private Ltd.	-	0.03
Torrent Gas Private Ltd.	-	-
Power Grid Corporation of India Ltd.	-	-
Power Grid Corporation of India Ltd.	0.01	-

NOTE 55: RELATED PARTY DISCLOSURES (Contd.)

(d) Related party balances

	Associates
	As at 31.03.21
Balances at the end of the year	
Current liabilities	-
Torrent Gas Pvt. Ltd.	-
Torrent Care Institute	-
Torrent Investments Private Ltd.	-
Torrent Pharmaceuticals Ltd.	-
Torrent Power Services Private Ltd.	-
Torrent Gas Pvt. Ltd.	-
Torrent Gas Private Ltd.	-
Torrent Power Private Ltd.	-
Torrent Pharma	-
Sunaina Tomar	-
Joshi Mehta	-
Shree Barua	-
Kishu Mehta	-
Pooja Patel	-
Bhavna Doshi	-
Charanisha Patel	-
Sunaina Tomar#	-
Pooja Joshi#	-
Investment in equities	-
Torrent Gas Private Ltd.	-
UNM Foundation	-
Investment in non-convertible debentures (including amortise premium)	110.18
Wind Two Renewable Private Ltd.	110.18
Loans (including interest) (current)	0
Wind Two Renewable Private Ltd.	0

NOTE 55: RELATED PARTY DISCLOSURES (Contd.)

(d) Related party balances

	Associates
	As at 31.03.21
Loans (including interest) (non-current)	155.70
Wind Two Renewable Private Ltd.	155.70
Trade and other receivables	8.44
Torrent Care Institute	10
Wind Two Renewable Private Ltd.	0.07
Torrent Pharmaceuticals Ltd.	-
Executive and non-executive directors	-
Power Grid Corporation of India Ltd.	8.37
# Sitting fees and Commission of Miss Sunaina Tomar and Shri Parag Joshi (nominee)	10

(e) Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business and the outstanding balances at the year-end are unsecured.

(b) Categories of financial instruments

	(₹ in Crore)			
	As at March 31, 2021		As at March 31, 2020	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalent	107.28	107.28	91.16	91.16
Bank balance other than cash and cash equivalents	95.14	95.14	189.10	189.10
Investment in bonds and debentures	124.15	124.15	115.89	115.89
Trade receivables	1,420.29	1,420.29	1,279.75	1,279.75
Loans	204.92	204.92	191.57	191.57
Other financial assets	2,180.02	2,180.02	1,926.42	1,926.42
	4,131.80	4,131.80	3,793.89	3,793.89
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	341.58	341.58	607.59	607.59
Investment in equity instruments	0.05	0.05	0.06	0.06
	341.63	341.63	607.65	607.65

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

				(₹ in Crore)
	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2021	As at March 31, 2020		
Investment in mutual fund units	341.58	607.59	Level 1	Quoted bid prices in an active market
	341.58	607.59		

(2) Financial liabilities at amortised cost

				(₹ in Crore)
	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at	As at		
	March 31, 2021	March 31, 2020		
Fixed rate borrowings (Non-convertible debentures)	2,161.55	1,527.62	Level 2	Inputs other than quoted prices that are observable based on yields provided by FIMMDA
	2,161.55	1,527.62		

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Group.

The Group has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Group does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Group.

Interest rate risk

Most of the Group's borrowings are on a floating rate of interest. The Group has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Group uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

The following table provides a break-up of the Group's fixed and floating rate borrowings:

	(₹ in Crore)	
	As at March 31, 2021	As at March 31, 2020
Fixed rate borrowings [^]	2,098.50	1,485.64
Floating rate borrowings [^]	5,710.00	7,415.54
	7,808.50	8,901.18

[^] Transactions cost reduced from the borrowing is excluded.

applicable regulatory requirements. In respect to generation business, Group generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Group does not hold any collateral or other credit enhancements to cover its credit risks associated with its financial assets.

(4) Age of receivables and expected credit loss

The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experienced and adjusted for forward-looking information. The expected credit loss allowance is based on ageing of the days the receivables are due.

The age of receivables and provision matrix at the end of the reporting period is as follows.

As at March 31, 2021

	(₹ in Crore)	
	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,373.86	80.20
More than 6 months but less than or equal to 1 year	113.95	63.07
More than one year	182.90	107.15
	1,670.71	250.42

credit risks on such investments to be negligible. Loans receivable from related parties have negligible credit risk and hence no risk of default is perceived on them.

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are required to be settled by delivering the cash or another financial asset. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and unused borrowing facilities, by continuously monitoring projected / actual cash flows.

Maturities of financial liabilities:

The Group's remaining contractual maturity for its financial liabilities with agreed repayment periods is given below. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Group may be required to pay.

Lease liabilities	-	22.69	27.48	50.17
Other financial liabilities	-	0.24	-	0.24
	-	5,420.51	6,198.71	11,619.22
Current financial liabilities				
Borrowings	3.28	-	-	3.28
Trade payables	1,037.91	-	-	1,037.91
Lease liabilities [^]	6.95	-	-	6.95
Other financial liabilities (including interest and current maturity of borrowings) [^]	3,515.44	-	-	3,515.44
	4,563.58	-	-	4,563.58
	4,563.58	5,420.51	6,198.71	16,182.80

[^] Transactions cost reduced from the borrowing is excluded.

	As at March 31, 2021	As at March 31, 2020
Opening balance	21.57	24.29
Add: Grants during the year	-	-
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 33]	(2.72)	(2.72)
Closing balance	18.85	21.57
Non-current portion [Refer note 26]	16.39	18.85
Current portion [Refer note 30]	2.46	2.72
	18.85	21.57

(a) Statement containing salient features of the financial statements

1.	Name of Subsidiary Company	Torrent Power Pipavav Generation Limited	Torrent Power Generation Limited	March 31, 2021	March 31, 2021
2.	Financial year ended on	March 31, 2021	March 31, 2021	50.00	50.00
3.	Share capital	90.00	90.00	43.33	(16.76)
4.	Reserves and surplus	43.33	43.33	178.18	94.34
5.	Total assets	178.18	178.18	44.85	61.10
6.	Total liabilities including share capital and reserve and surplus	44.85	44.85	26.67	-
7.	Investments	26.67	26.67	42.12	-
8.	Turnover (Revenue from operations)	42.12	42.12	19.39	(1.65)
9.	Profit / (loss) before taxation	19.39	19.39	0.08	-
10.	Provision for taxation (including deferred tax)	0.08	0.08	19.31	(1.65)
11.	Profit / (loss) after taxation	19.31	19.31	(6.01)	-
12.	Other comprehensive income	(6.01)	(6.01)	19.30	(1.65)
13.	Net of tax	19.30	19.30	1.20	-
14.	Revenue shareholding	1.20	1.20	74.00%	95.00%
15.	Extent of shareholding (in percentage)	74.00%	74.00%		

Footnote :

1. Torrent Pipavav Generation Limited, Torrent Saunhya Ujja 2 Private Limited. Its operations.

FORM AOC - 1 (Contd.)

(b) Statement pursuant to Section 129 (3) of the Companies Act, 2013

Name of Associates	
1.	Latest audited balance sheet date
2.	Share on which the associate was associated or acquired
3.	Share of associate held by the company on the year end
4.	Amount of investment in associates
5.	Extent of holding (in percentage)
6.	Description of how there is significant influence
7.	Reason why the associate is not consolidated
8.	Networth attributable to shareholding as per latest audited balance sheet
9.	Profit / (loss) for the year
10.	Considered in consolidation
11.	Not considered in consolidation

Return on Net Worth *#	%	10.16	10.22	7.77	8.55	7.71
Return on Capital Employed *#	%	12.42	11.05	9.54	12.62	5.57
Long Term Debt Equity Ratio *		0.73	0.92	0.90	1.01	1.06
Earnings Per Share	₹	26.86	24.43	18.70	19.61	8.93

Excluding Exceptional Items

* Deferred Tax Liability is included as a part of Equity

Risk Management Committee

Samir Barua, Chairperson
Bhavina Doshi
Sanjay Dalal (upto April 30, 2021)
Lalit Malik (wef May 01, 2021)

Committee of Directors

Samir Mehta, Chairperson
Jinal Mehta

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